

Standard & Poor's 500 change. In bull markets, the S&P 500 index dropped 1%. I expected to see a rise, so I checked the statistics and they are correct. However, BARR tops are a bearish chart pattern. Perhaps price drops along with a falling general market, even though the market trend remains bullish (bull markets).

The index in bear markets, with declines averaging 12%, helps pull the stocks showing BARR tops lower after downward breakouts.

Days to ultimate low. It takes about 2 months to reach the ultimate low. Notice, however, that the 24% drop in bear markets takes 54 days but a 17% drop in bull markets takes 67 days. The bear market decline has a higher velocity, but by how much? Answer: The bear market drop is almost twice as fast as the one in bull markets.

How many change trend? It's rare that bearish chart patterns see price drop more than 20%. I consider values above 50% to be good, but that's for upward breakouts. Even so, the bear market with more than half of the patterns showing declines above 20% speaks to an especially precarious situation. If you see a BARR top in a bear market, and have the skills to manage a short sale, then consider shorting the stock after a downward breakout. You can make a lot of money quickly if you trade it properly.

[Table 15.3](#) lists failure rates for BARR tops. Failures start small compared to other chart pattern types, especially in bear markets. As one might expect, the failure rates in bear markets are smaller than those in bull markets.

Half the patterns in bear markets will fail to drop more than 25%. In bull markets, the halfway mark passes at 14% (not shown), meaning half the patterns will fail to decline more than 14%. Compared to other bearish chart patterns, these failure rates are small. However, notice how the failure rates climb rapidly when we allow the maximum decline to change from 5% to 10% and higher.